



SPONSOR: Rep. K. Williams & Sen. Walsh & Sen. Mantzavinos &
Sen. Seigfried

HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 244

AN ACT TO AMEND TITLE 14 OF THE DELAWARE CODE RELATING TO LOCAL SCHOOL TAXES.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1 Section 1. Amend § 1902, Title 14 of the Delaware Code by making deletions as shown by strike through and
2 insertions as shown by underline as follows:

3 § 1902. Power of district to levy taxes for school purposes.

4 (a) Any district may, in addition to the amounts apportioned to it by the Department of Education or appropriated
5 to it by the General Assembly, levy and collect additional taxes for school purposes upon the assessed value of all taxable
6 real estate in the district, except any of the following:

7 (3) a. Real estate exempt from taxation under a county ordinance adopted on or before January 1, 1998,
8 granting, clarifying, or expanding any exemption from county taxation. Upon a county-wide reassessment under §
9 8306(b) of Title 9, a county shall, by subsequent county ordinance, modify these exemption ~~amounts~~-amounts to
10 reasonably reflect changes in property value and inflation.

11 b. For school tax exemption determinations, New Castle County must use the same eligibility criteria and
12 exemption amount used for exemption from county property taxes that was required as of July 1, 2025 based on
13 county ordinances in effect on that date.

14 Section 2. Notwithstanding any provision of Title 14 or Title 9 to the contrary, on enactment of this Act, and upon
15 enactment of House Bill No. 242 of the 153rd General Assembly:

16 (1) In any school district that issues a new tax warrant under House Bill No. 242 of the 153rd General Assembly,
17 New Castle County shall supplement any property tax bill already issued for the 2025-2026 tax year for that school district
18 and adjust the initial billing to apply the school tax exemptions under Section 1 of this Act so that the school tax exemption
19 is included in the tax calculation.

20 (2) New Castle County shall extend the deadline for payment of property tax for the 2025-2026 tax year for any
21 bill adjusted under this Act to October 30, 2025. New Castle County shall refund any overpayment in school taxes to any
22 taxpayer who submits payment in accordance with a tax bill that was subsequently adjusted in accordance with this Act.

SYNOPSIS

Section 1 of this Act requires modifications to exemptions from county taxation to reasonably reflect changes in property value and inflation. This Act also requires New Castle County to use the same eligibility criteria and calculation formula for exemption from school taxes that it used for county taxes as of June 1, 2025.

Section 2 of this Act provides that upon passage of House Bill No. 242 of the 153rd General Assembly, the expanded school tax exemption will be applied during the 2025-2026 tax year in any New Castle County School district that reissues its tax warrant in accordance with House Bill No. 242.